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Supreme Court of California
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In the

Supreme Court

of the

State of California

DANA HOHENSHELT,

Petitioner,

v.

THE SUPERIOR COURT OF LOS ANGELES COUNT,

Respondent,

GOLDEN STATE FOODS CORP.,

Real Party in Interest.

REVIEW OF DECISION ON PETITION FOR WRIT OF MANDATE
BY THE COURT OF APPEAL SECOND APPELLATE DISTRICT, DIVISION EIGHT
CASE NO. B327524
FROM THE LOS ANGELES SUPERIOR COURT,
HON. THOMAS FALLS, SUPERIOR COURT CASE NO. 20PSCV00827

PETITION FOR REVIEW

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ISSUES PRESENTED

In 2019, the California Legislature passed SB 707, which created new rules for employment and consumer arbitrations. The law requires arbitrators to immediately issue invoices for the costs of arbitration. If those invoices are not paid within 30 days, the employer/business forfeits its right to arbitrate by operation of law. This Petition poses the following questions:

1. Does the Federal Arbitration Act ("FAA") authorize State rules that specify when arbitrators must send invoices for arbitration costs and when payment is due?

2. If so, does the FAA authorize State rules that result in forfeiture of a party's contractual right to arbitrate if payment is not timely made?

INTRODUCTION

This Petition presents important and "substantial questions" relating to the application of the "FAA . . . to employment contracts." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97 ("*Armendariz*").) It also highlights a growing split in authority between federal and state jurisprudence, which this Court should resolve.

In 2019, the California Legislature passed SB 707, which added sections 1281.97 through 1281.99 [1] to the California Arbitration Act. These laws take aim at employment and consumer arbitrations. They require arbitrators to immediately issue invoices, and if those invoices are not paid within 30 days,

[1] Statutory references are to the California Code of Civil Procedure, unless otherwise stated.

the consequences are severe. Even if payment is just one minute late, the party has forfeited its right to arbitrate and is subject to mandatory fines. As interpreted, there are *no* exceptions.

Courts now disagree on whether the FAA preempts these statutory provisions. California appellate courts have concluded that it does not. (*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621 ("*Gallo*"); *Suarez v. Superior Court* (2024) 99 Cal.App.5th 32, 38.)

Federal courts are split and appear to be trending the other way. Every federal court in the Northern District of California considering the question has held that the laws are preempted on their face or as applied. (*Belyea v. Greensky, Inc.* (N.D. Cal. 2002) 637 F.Supp.3d 745; *Lee v. Citigroup Corp. Holdings, Inc.* (N.D. Cal. Sept. 14, 2023) – F.3d –, No. 22-CV-02718-SK, 2023 WL 6053849 ("*Lee*"); *Miller v. Plex, Inc.* (N.D. Cal. Jan. 20, 2024) No. 22-cv-05015, 2024 WL 348820 ("*Plex*").)

In this case, after requesting additional briefing on the issue, the panel below was divided. The *Hohenshelt* majority joined two other courts in following the Second District's *Gallo* decision. (Op. at pp. 7-8.) *Gallo* concluded that sections 1281.97 *et seq*. "further—rather than frustrate—the objectives of the FAA" by promoting "speedy" resolution. (*Gallo, supra,* 81 Cal.App.5th at p. 639.) The majority below agreed and held that sections 1281.97 *et seq*. are not preempted. (Op. at pp. 7-8.)

Justice Wiley dissented. In Justice Wiley's view, sections 1281.97 *et seq*. "single out arbitration agreements for disfavored treatment." (Dis. Op. at p. 3.) By targeting arbitration agreements

and rendering them unenforceable, sections 1281.97 *et seq*. conflict with the primary purpose of the FAA, which is to ensure that arbitration agreements are enforced according to their terms. (*Ibid*.) The dissent is supported by an expanding body of federal jurisprudence.

This Court should grant review to resolve the federal/state conflict as to whether sections 1281.97 *et seq*. are preempted by the FAA. (Cal. Rules of Court, rule 8.500(b)(1).) The lineage of these provisions can be traced directly to this Court's decision in *Armendariz*. These laws alter the jurisdiction of trial courts, operate to forfeit important contractual rights, and involve the mandatory imposition of fines. Whether they are preempted is an important constitutional question of first impression.

BACKGROUND

A. The Decision Below

1. Factual Background

This case involves an employment dispute. Before being hired by Golden State Foods, Hohenshelt executed an At-Will Acknowledgment and Pre-Dispute Resolution Agreement (the "Arbitration Agreement"). (pp. 29 ¶ 6, 35-38.)[2] The Arbitration Agreement is explicitly governed by the FAA and incorporated JAMS' procedural rules. (p. 35.) Golden State Foods agreed to pay the arbitration costs. (*Ibid*.)

[2] Page citations are to the Exhibits Supporting Petition for Writ of Mandate or Other Appropriate Relief filed in the Court of Appeal on April 3, 2023.

2. The Complaint and Arbitration Proceedings

On November 25, 2020, Hohenshelt filed a Complaint against Golden State Foods in the Superior Court. (pp. 20-26.) The Complaint alleges that Golden State Foods retaliated against Hohenshelt after he reported a coworker for harassing another coworker. (p. 22 ¶¶ 10-17.) The trial court granted Golden State Foods' motion to compel arbitration and stayed the case. (pp. 28-30, 42-47.)

On August 3, 2021, Hohenshelt submitted his claims to JAMS. (pp. 49-70, 151 ¶ 8.) JAMS appointed Lexi Myer-Wolfe as arbitrator and issued an invoice in the amount of $7,000 (p. 72.) Golden State Foods promptly paid the invoice. (p. 313.)

The arbitrator set the arbitration hearing date for November 29, 2022. (p. 237.)[3] Dispositive motions were filed, written discovery was exchanged, several depositions were taken, and two discovery disputes were submitted. (pp. 151 ¶ 12, 314.) On July 7, 2022, the arbitrator notified the parties that she would be unavailable in August and September, and urgent matters should be submitted before July 25, 2022. (pp. 151 ¶ 13, 240.)

Despite this, JAMS issued two invoices *via* its online portal after July 25, 2022. On July 29, 2022, JAMS issued an invoice for $32,300. (pp. 88, 151 ¶ 14.) On August 29, 2022, JAMS issued an

[3] The arbitrator issued scheduling orders on October 4, 2021, and April 22, 2022. Both confirmed that JAMS rules applied. (pp. 81, 235.)

additional invoice for $11,760. (pp. 87, 151 ¶ 14.)[4] Both invoices stated that payment was "due upon receipt." (pp. 87-88.)

On September 22, 2022, counsel for Golden State Foods provided notice of unavailability in anticipation of counsel's paternity leave. (pp. 151-52 ¶ 15.)

On September 30, 2022, JAMS issued a Request to Post Fees stating that "all fees must be paid in full by October 28, 2022, or [the] hearing may be subject to cancellation." (Op. at p. 2.)

Later that day, Hohenshelt filed a letter stating that, pursuant to section 1281.98, subdivision (b), he "unilaterally elected to withdraw from the arbitration and JAMS "retains no jurisdiction." (pp. 102-03.)

Based on the Request to Post Fees, Golden State Foods understood that payment was due by October 28, 2022. After receiving Hohenshelt's letter, however, Golden State Foods paid all outstanding fees by October 5, 2022. (Op. at p. 3; pp. 152 ¶ 18, 232, 312.) The fees were processed and accepted by JAMS (p. 232), and Golden State Foods notified Hohenshelt's counsel the same day. (Op. at p. 3).

3. The Trial Court's Denial of Hohenshelt's Motion To Lift The Arbitration Stay

Hohenshelt moved to lift the stay in the trial court. (pp. 8-14.) Citing *Gallo*, he argued that "CCP §§ 1281.97, 1281.98, and 1281.99 are [not] preempted by the Federal Arbitration Act," (pp.

[4] In the proceedings before the trial court, counsel for Golden State Foods submitted a declaration stating that it was "unaware that these invoices had been issued given the arbitrator's previously Notice of unavailability." (p. 151 ¶ 14.)

11-12), and "the rule is that a party is in essentially automatic default by not paying within 30 days, (p. 325.)."

In a thoughtful and detailed ruling, the trial court found that Golden State Foods "diligently litigated" the case in the arbitral forum, paid the invoices by the due date, and "evidenced an intention of resolving the disputes with alacrity." (pp. 313-14, 333-34.) The court distinguished *Gallo* and denied the motion.

4. The Split Decision Below

On April 3, 2023, Hohenshelt filed a petition for writ of mandate. The Court of Appeal instructed the parties to address preemption under the FAA. Golden State Foods and Hohenshelt submitted supplemental briefing.

On February 27, 2024, the Second District issued its written opinion and certified it for publication. In a split-decision, the Court granted Hohenshelt's petition. (Op. at p. 9.)

a. The Majority Opinion

Initially, the majority ruled that the trial court erred in finding that Golden State Foods' payment was timely. (Op. at p. 5-6.) Relying on *Cvejic v. Skyview Capital, LLC* (2023) 92 Cal.App.5th 1073, 1077-79 (Wiley, J.), the majority concluded that payment was due within 30 days of the initial invoice, and the arbitrator had no authority to send a renewed invoice. (Op. at pp. 5-6.) The Court then "exercised [its] discretion" to address preemption. (Op. at p. 7.)[5] Relying principally on *Gallo*, *supra*, 81

[5] The majority opinion states Golden State Foods raised the issue of preemption "for the first time via its supplemental brief." (Op. at p. 7.) Golden State Foods raised this argument in opposition to Hohenshelt's writ petition. (Opp. to Pet. at pp. 16-23.)

Cal.App.5th 621, the majority held that the FAA does not preempt section 1281.98. (Op. at p. 7.) According to the majority opinion, the statutory provisions were consistent with the "general intent to arbitrate" and further the objectives of the FAA by requiring speedy and efficient resolution of claims. (Op. at pp. 7-8.)

b. Justice Wiley's Dissent

Central to Justice Wiley's dissent is the Supreme Court's "equal treatment principle," which requires courts to place arbitration agreements on "equal footing" with all other contracts. (Dis. Op. at p. 3.) According to the dissent, section 1281.98 "singles out arbitration agreements for disfavored treatment" because no other contracts are automatically deemed unenforceable based on a short payment delay. (*Id*. at p. 3.) In Justice Wiley's view, the laws do not encourage arbitration—they render arbitration agreements unenforceable. (Dis. Op. at pp. 3-4.)

Justice Wiley viewed sections 1281.97 *et seq*. in appropriate context. The dissent cautions that California "continues to find new ways to disfavor arbitration." (Dis. Op. at p. 1.) Although not referenced specifically, this is similar to the Ninth Circuit's view that SB 707's sister bill "must be understood in the context of California's legislative efforts." (*Chamber of Com. of the United States v. Bonta* (9th Cir. 2023) 62 F.4th 473, 478 ("*Bonta II*").)

B. The California Legislature's 2019 Enactments of Sister Bills AB 51 and SB 707

In 2019, the California legislature passed two bills taking aim at "forced arbitration," AB 51 and SB 707. Governor Newsom signed AB 51 on October 10, 2019, and SB 707 three days later.

AB 51 addressed the formation of arbitration agreements. SB 707 addressed their enforcement.

At the time, the legislature expressed frustration with the "lengthy and extensive history" of courts "striking down state laws that discriminate against arbitration agreements." (Sen. Com. on Judiciary Rep. on Assem. Bill No. 51 (2019-2020 Reg. Sess.) p.7.) The legislature employed new strategies to craft legislation, which resulted in the laws having "unusual structures." (*Bonta II*, *supra*, 62 F.4th at p. 484.)

1. The Enactment of AB 51 and Stipulated Injunction Barring its Enforcement

AB 51 made it a misdemeanor for any employer to require an employee to agree to arbitration as a condition of employment. (*Bonta II, supra,* 62 F.4th at p. 480; *Chamber of Commerce of the United States. v. Bonta* ("*Bonta I*") (9th Cir. 2021) 13 F.4th 766, 772, *opinion withdrawn by Chamber of Commerce of the United States v. Bonta* (9th Cir. 2022) 45 F.4th 1113.) The Ninth Circuit concluded that "all provisions of AB 51 work together to burden" arbitration agreements and its "penalty-based scheme . . . violates the 'equal-treatment principle." (*Id.* at p. 490.)

In January 2024, California was permanently enjoined from enforcing AB 51. (*Chamber of Commerce of the USA et al. v. Becerra et al.*, (E.D. Cal., Jan. 1, 2024) No. 2:19-cv-02456.)

2. The Enactment of SB 707

The "intent of the Legislature in enacting" SB 707 was to "affirm" three decisions: this Court's landmark decision in *Armendariz*, and two influential decisions issued by the Ninth Circuit, *Brown v. Dillard's* (9th Cir. 2005) 430 F.3d 1004 ("*Brown*")

and *Sink v. Aden Enterprises, Inc.* (9th Cir. 2003) 352 F.3d 1197 ("*Sink*"). (Legis. Counsel's Dig., Sen. Bill No. 707 (2019-2020 Reg. Sess.) Oct. 13, 2019.)

In *Armendariz*, this Court set forth minimum standards of fairness for mandatory employment arbitration agreements. (*Armendariz*, *supra*, 24 Cal.4th 83.) Among them, the agreement cannot require the employee to pay costs unique to the arbitral forum. (*Id.* at pp. 110-11.) Regrettably, some employers shirked the standards set forth in *Armendariz*, including by refusing to arbitrate, thereby leaving the employee in 'procedural limbo.'

Brown and *Sink* involved employers that agreed to arbitrate but refused to pay the arbitrator's fees. In *Brown*, the Court held that a company's "refus[al] to participate in the arbitration proceedings at all" would amount to a material breach of the arbitration agreement under "general principles of California contract law." (*Brown, supra*, 430 F.3d at pp. 1006, 1010.) In *Sink*, the company's "failure to pay . . . was a material breach" because it "imped[ed] the arbitration to the point where the arbitrator cancelled the arbitration." (*Sink*, *supra*, 352 F.3d at p. 1201.) In both cases, the Court had no difficulty in allowing the employee to pursue claims in court.

Brown and *Sink* instruct that the question of whether a party has materially breached its arbitration agreement depends on the circumstances. (*Brown*, *supra*, 430 F.3d at pp. 1004-06, 1010-13 [remanding for factual findings]; *Sink*, *supra*, 352 F.3d at p. 1199 [considering the question of default to be "one of fact" and reviewing for clear error]; *Cox v. Ocean View Hotel Corp*. (9th Cir.

2008) 533 F.3d 1114, 1123-24 [explaining that *Brown*'s determination of breach was "based on the facts"].)

In cases where the arbitration was stalled, and especially where the arbitrator closed the case due to nonpayment, the breach is material.[6] In cases where the nonpayment did not affect the schedule, breach is likely to be immaterial. (*Lee, supra,* 2023 WL 6053849 at p.3 [explaining that the focus is on whether there has been a "termination of the arbitration due to Defendant's non-payment of fees"].)[7]

Brown and *Sink* are consistent with this Court's decisions addressing similar circumstances—a party's delay of arbitration proceedings—framed in terms of "waiver" of a contractual right to arbitrate. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 983-84.) These cases make clear that the question of waiver is one of fact that depends on the circumstances. (*Ibid.*;

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[6] For example, relying on *Brown* and *Sink*, the Supreme Court of New Jersey held that a party's failure to pay fees "that results in the dismissal of the arbitration claim deprives a party of the benefit of the agreement . . . and amounts to a material breach." (*Roach v. BM Monitoring, LLC* (2017) 228 N.J. 163, 180-81, 155 A.3d 985, 994-95.) The Court cautioned that the determination of "material breach . . . must be made on a case-by-case basis." (*Ibid.*; *Pre-Paid Legal Services, Inc. v. Cahill,* (10th Cir. 2015) 786 F.3d 1287, 1294; *Eliasieh v. Legally Mine, LL*C (N.D. Cal. Apr. 21, 2020) Nos. 18-cv-036220JSC, 19cv-04977-JSC, 2020 WL 1929244, p. 3 ["Defendant's failure to pay . . . leading to the termination of the arbitration was a material breach of the arbitration agreement."].)

[7] Other courts have reached the same result. (*McLellan v. Fitbit, Inc.*, (N.D. Cal. July 24, 2018) No. 3:16-cv-00036, 2018 WL 3549042, pp. 3-4; *Brunner v. Lyft, Inc.* (N.D. Cal. Nov. 14, 2019) No. 19-cv-04808-VC, 2019 WL 6001945 pp. 1-3.)

St. Agnes Med. Ctr. v. PacifiCare of California (2003) 31 Cal.4th 1187, 1195-96.)

C. The Requirements of Sections 1281.97 *et seq*.

The law requires arbitrators to "immediately" issue invoices. (§ 1281.97, subd. (a)(2).) As interpreted by appellate courts, arbitrators no longer can set the date for payment, and they must issue invoices as "due on receipt." (*Ibid*.) "Any extension of time for the due date shall be agreed upon by all parties." (*Ibid*.)

For the party that drafted the arbitration agreement (referred to as the "drafting party"), the consequences of not paying within 30 days are severe. The drafting party forfeits all rights to enforce the arbitration agreement, and it is deemed to have "materially breached" the agreement, "waived" its right to arbitrate, and "default[ed]" in the proceedings. (§ 1281.97, subd. (a); § 1281.98, subd. (a).) The other party can choose whether to proceed in arbitration or pursue the claims in court. (§ 1281.98, subd. (b).)

In addition, the arbitrator or court "shall" impose fines. (§ 1281.99.) The drafting party also faces the risk of more severe discretionary sanctions, including terminating sanctions and being held in contempt without any prior court order or notice. (§ 1281.99, subd. (b).)

D. Courts Strictly Enforce Sections 1281.97 *et seq*.

California appellate courts interpret sections 1281.97 *et seq*. as an unambiguous legislative mandate that "requires strict enforcement" and provides for "no exceptions." (*Espinoza, supra*, 83 Cal.App.5th at 758-59.) The result is that objectively

insignificant conduct is legislatively decreed to be "material" and amount to "waiver" of an important contractual right.

In this case, the parties litigated the case for over a year, Golden State Foods paid the arbitrator over $40,000 before the due date stated on the arbitrator's invoice, and the arbitrator and trial court agreed the case should proceed in the arbitral forum. (pp. 313-14.) The arbitrator advised that the parties should submit urgent matters before July 25, 2022 and that she would be unavailable through September 18, 2022. (pp. 151 ¶ 12, 240.) Despite this notice, JAMS issued invoices after July 25, 2022 through its online portal. (pp. 87, 88.) On September 22, 2022, counsel for Golden State Foods also provided notice of unavailability in anticipation of paternity leave. (pp. 151-152 ¶ 15.) Thus, even assuming Golden State Foods had paid the subject invoice the day it was issued, the matter would not have proceeded in any material way by the time Claimant's counsel moved to lift the stay. Nonetheless, the Court of Appeal ruled that section 1281.98 forfeited Golden State Foods' contractual right to arbitrate by operation of law. (Op. at p. 5.)

Several other cases are demonstrative. In one case, a party "waived" its right to arbitrate because a clerical error delayed payment for a few weeks. (*Espinoza, supra*, 83 Cal.App.5th at pp. 755-56.) In another case, parties "waived" their right to arbitrate even though they sent a check in the mail before the 30th day. *Doe v. Superior Ct.* (2023) 95 Cal.App.5th 346, 357, *as modified* (Sept. 28, 2023) [holding that "paid within 30 days" under section 1281.98 requires payment to be "received" by the 30th day].) In yet another

case, payment was received one day late after the New Year holiday, and that was enough to find waiver as a matter of law. (*Suarez, supra,* 99 Cal.App.5th at pp. 595-96.)[8]

At least one court, in an unpublished decision, has held that section 1281.97 overrides section 437(b), and granting relief based on excusable neglect would constitute an abuse of discretion. (*Roman v. Pac. Beach House, LLC* (Cal. Ct. App. July 31, 2023) No. B323162, 2023 WL 4858553 at p. 7) [not cited for precedential value].)

Courts have rejected arguments that the statutes should be interpreted with some elasticity in light of their purpose (to affirm *Brown* and *Sink*) or harm they sought to redress (instances where employees and consumers are stuck in "procedural limbo"). (*Espinoza, supra*, 83 Cal.App.5th at p. 778 ["Defendant argues that *Sink* . . . does not support a finding of material breach . . . [w]ere the relevant language of section 1281.97 ambiguous, arguably we would look to *Sink* . . . [but it] is not."].)

As Golden State Foods explained before the trial court, if the statute is interpreted so harshly and without exceptions, then

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[8] (*Williams, supra,* 86 Cal.App.5th at pp. 1074-76 [holding that the provisions do not "permit an inquiry into the reasons for a drafting party's nonpayment"]; *De Leon v. Juanita's Foods* (2022) 86 Cal.App.5th 740, 750-754 [section 1281.98 "establishes a simple bright-line rule" and courts have no "discretion to consider . . . additional factors]; *Cvejic, supra,* 92 Cal.App.5th at 1077-79 (Wiley, J.) ["[L]egislative history and caselaw direct . . . strict[] enforce[ment]."]; *Nyerges, supra,* 2022 WL 20717551, at p. 3 [interpreting section 1281.97 as "written in absolute terms and does not provide exceptions"].)

"[c]ertainly a result like that could only be considered a contravention of the FAA." (p. 327.)

ARGUMENT

A. This Court Should Resolve the Split in Authority on Whether the FAA Preempts Sections 1281.97 *et seq*.

1. California Appellate Courts Hold that the FAA Does Not Preempt Sections 1281.97 *et seq*.

The Second District and Fourth District have held that the FAA does not preempt sections 1281.97 *et seq*.[9] *Gallo* was the first California appellate decision to consider the issue. (*Gallo, supra*, 81 Cal.App.5th 621.) Every subsequent California decision, including the majority below, adopted *Gallo's* reasoning. (Op. at pp. 7-8; *Suarez, supra,* 99 Cal.App.5th at pp. 597-98; *Espinoza, supra,* 83 Cal.App.5th at pp. 766-68.)[10]

2. Federal District Courts are Trending Towards Holding that the FAA Preempts Sections 1281.97 *et seq*.

The Ninth Circuit has "not yet decided whether the FAA preempts CCP Section[s] 1281.97 [*et seq*.]." (*Belyea, supra*, 637 F.

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[9] Before any appellate court addressed the issue, at least one California trial court ruled that the FAA preempts section 1281.98 and 1281.99. (*Loeffler v. Demars & Assc.* (O.C. Super Ct. Aug. 14, 2020) No. 30-2017-00923227, 2020 WL 13687564 [not cited for precedential value].)

[10] The Second District recently issued an unpublished opinion which also adopted *Gallo's* reasoning. (*Doe v. Lawyers For Employee and Consumer Rights, APC* (Cal. Ct. App. Mar. 21, 2024) No. B330052, 2024 WL 1203776 ("*LECR*") [not cited for precedential value].)

Supp. 3d at p. 756.).[11] Federal district courts "are split." (*Lee*, 2023 WL 6132959 at p. 2.)

District court decisions have held that the FAA does not preempt sections 1281.97 *et seq*. (*Costa v. Melikov* (C.D. Cal. Oct. 21, 2022) No. 20-cv-09467-AB, 2022 WL 18228248; *Nyerges supra*, 2022 WL 20717551; *Agerkop v. Sisyphian LLC* (C.D. Cal. Apr. 13, 2021) No. 19-cv-10414-CBM, 2021 WL 1940456; *Postmates Inc. v. 10,356 Individuals* (C.D. Cal. Jan. 19, 2021) No. 20-cv-02783-PSG, 2021 WL 540155.)

More recent federal decisions hold that the statutes are preempted. (*Lee*, *supra*, 2023 WL 6132959, at p. 2; *Belyea, supra*, 637 F. Supp. 3d 745; *Plex*, *supra*, 2024 WL 348820.)

Earlier this year, the federal district court in *Plex* held that it was "simply impossible for the Court to apply both the FAA and SB 707, because one mandates a stay of court proceedings, and the other permits those proceedings to continue." (*Plex, supra*, 2024 WL 348820, at p. 5.) The circumstances in *Plex* were very similar to the circumstances here, except *Plex* was filed in federal court.

The growing divide between federal and state courts risks inconsistent results and forum shopping. As this Court has emphasized, "Congress can hardly have meant that an agreement to arbitrate can be enforced against a party who attempts to litigate an arbitrable dispute in federal court, but not against one

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[11] In an unpublished opinion, the Ninth Circuit declined to address section 1281.98 and ruled that the determination of breach had to be resolved by the arbitrator in the first instance. (*Dekker v. Vivint Solar, Inc.* (N.D. Cal. 2020) 479 F.Supp.3d 834, 838-839, *reversed* (9th Cir. Oct. 26, 2021) No. 20-16584, 2021 WL 4958856.)

who sues on the same dispute in state court." (*Rosenthal v. Great W. Fin. Sec. Corp*. (1996) 14 Cal.4th 394, 408 (1996) [quoting *Moses H. Cone Mem'l Hospital v. Mercury Construction Corp*. (1983) 460 U.S. 1, 26–27, fn. 34].)

B. The Decision Below Conflicts with Established Preemption Authority of this Court and the U.S. Supreme Court

1. Governing Legal Principles

The FAA preempts a state law where (1) it is impossible to comply with both the state and federal law or (2) the state law "stands as an obstacle to the accomplishment of the [FAA's] full purposes and objectives." (*Silkwood v. Kerr-McGee Corp.* (1984) 464 U.S. 238, 248.)

Impossibility preemption derives from the last clause of Section 2 of the FAA, which provides that arbitration agreements "shall be valid, irrevocable, enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) This clause allows arbitration agreements to be invalidated by "generally applicable contract defenses," but not by "defenses that apply only to arbitration." (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.) To fall within the savings clause, the state law must put arbitration agreements on the "same plane" and "equal footing" as other contracts. (*Kindred Nursing Centers Ltd. P'ship v. Clark* (2017) 581 U.S. 246, 248, 252.)

As to obstacle preemption, a state law may pose an obstacle to the FAA in "various ways," and what constitutes "a sufficient obstacle is a matter of judgment." (*Bonta II, supra*, 62 F.4th at p.

482 [quoting *Crosby v. Nat'l Foreign Trade Council*, (2000) 530 U.S. 363, 372.])

2. Sections 1281.97 *et seq.* Violate the Equal Treatment Principle

Under sections 1281.97 *et seq.*, arbitration agreements are not on the "same plane" as other contracts. This determination requires no guesswork. Under *Brown* and *Sink*, arbitration agreements *were* on the same plane.[12] Now, under the CAA, they are not.

First, sections 1281.97 and 1281.98 add onerous invoicing and payment obligations to arbitration agreements. Second, these provisions reclassify a very short delay in making payment—which the law treats as the most insignificant of breaches—as so significant that it results in forfeiture of all contractual rights and the imposition of fines. Third, section 1281.99 adds new remedies that are not available for breach of *any other contract*. Thus, these three provisions "work together" to make the right to arbitration weaker and the risks of arbitration higher. (*Bonta II, supra*, 62 F.4th at pp. 487, 490 [describing AB 51].)

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[12] For example, in *McLellan v. Fitbit, Inc.*, the Court held that a "finding of material breach" based on "a short delay . . . [of] a few weeks" is "doubtful under contract law . . . [and] would be tantamount to a defense that is only applicable to arbitration agreements, which the FAA does not permit." (*McLellan, supra,* 18 WL 3549042 at pp. 3-4 [applying *Brown*]; *Brunner*, *supra*, 2019 WL 6001945 at pp. 1-3 ["[E]ven if [a] failure to pay . . . technically breached the agreement, Lyft presented unrebutted evidence that the arbitration . . . was not delayed by the late payment."].)

a. Sections 1281.97 *et seq*. Violate the Equal Treatment Principle Because the Statutory Scheme Arose to Govern and Targets Arbitration Agreements

"In considering the preemptive scope of the FAA, the Supreme Court has focused on cases involving state laws . . . that single out executed arbitration agreements and prevent [their] enforcement." (*Bonta II, supra*, 62 F.4th at p. 482.) Thus, a basic tenet of the "equal treatment" principle is that a state law cannot "target arbitration [] by name." (*Concepcion*, *supra*, 563 U.S. at p. 344.) If a state law "arose to govern issues" specifically related to arbitration agreements, the law "does not comport with [the text of § 2." (*Doctor's Associates, Inc. v. Casarotto* (1996) 517 U.S. 681, 685 [quoting *Perry v. Thomas* (1987) 482 U.S. 483, 493, fn. 9.])

Here, as Justice Wiley emphasized below, sections 1281.97 *et seq*. violate the equal treatment principle because they "single[] out arbitration agreements for disfavored treatment." (Dis. Op. at p. 3 [quoting *Kindred, supra*, 581 U.S. at p. 248.]) The legislature enacted the statutory scheme to govern arbitration agreements specifically, and the law "singularly limits their validity." (*Doctor's Associates, Inc.*, *supra*, 517 U.S. at pp. 687-68.) As formulated by the *Beylea* court, sections 1281.97 *et seq*. are preempted because they make "arbitration provisions unenforceable on arbitration-specific grounds." (*Beylea, supra*, 637 F.Supp.3d at p. 756.) By creating "precise, arbitration-specific" grounds that prevent the enforcement of arbitration agreements, sections 1281.97 *et seq*. directly conflict with the text of section 2. (*Ibid*.)

b. Sections 1281.97 *et seq.* Violate the Equal Treatment Principle Because Other Contracts Are Not Interpreted or Enforced in the Same Way

To be on the "same plane" as other contracts, arbitration agreements must be interpreted and enforced "in the same way" as other contracts. (*DIRECTV, Inc. v. Imburgia* (2015) 577 U.S. 47, 55 ["equal footing" means courts must "interpret contracts other than arbitration contracts the same way"]; *Morgan, supra*, 596 U.S. 411 at p. 418 ["same footing" means courts "must hold a party to its arbitration contract just as the court would to any other kind"); *Prima Paint Corp., supra,* 388 U.S. p. 404 at fn. 12 [explaining that the purpose of FAA § 2 is to make arbitration agreements "as enforceable as other contracts"].)

"Under the FAA, state law governs the interpretation of arbitration agreements, so long as that law treats other types of contracts in the same way." (*Lamps Plus, Inc. v. Varela* (2019) 587 U.S. 176, 205 (dis. opn. Kagan, J.); 9 U.S.C. § 2; *DIRECTV, Inc. supra*, 577 U.S. at p. 54; *Cronus Invs., Inc. v. Concierge Servs.* (2005) 35 Cal.4th 376, 384 ["[S]tate contract rules generally govern the construction of arbitration agreements."].)

In California, the rules for interpretation of contracts are codified and based on common law. (Civ. Code §§ 1635 *et seq.; Burnett v. Piercy* (1906) 149 Cal. 178, 188–89 ["[T]he rules for the interpretation . . in the Civil Code . . . for the most part, are parts of the common law previously existing."]; *Caldera Pharms., Inc. v. Regents of Univ. of California* (2012) 205 Cal.App.4th 338, 357.)

(1) Under Sections 1281.97 *et seq*., the Time for Payment for Arbitration Agreements is Not the Same as Other Service Contracts

The general rule for service contracts is "payment is not due until the services are completely performed." (*Hagan v. McNary* (1915) 170 Cal. 141, 143; *Est. of Fincher* (1981) 119 Cal.App.3d 343, 353.) Further, payment must be made "within a reasonable time." (*Phillips v. Deck* (1888) 76 Cal. 384, 386.)[13]

By contrast, under sections 1281.97 and 1281.98, payment is "due upon receipt" of the arbitrator's invoice. (§ 1281.97, subds. (a)(1), (a)(2); § 1281.98, subds. (a)(1), (a)(2).) Further, in cases initiated by the employee or consumer, the arbitrator "shall immediately provide an invoice." (*Id*. § 1281.97, subd. (a)(2).) Thus, unlike other contractual payment obligations, sections 1281.97 *et seq*. mandate that arbitration costs are due upon receipt of an invoice, due before services are rendered, and regardless of whether the time to pay is "reasonable."

(2) Under 1281.97 *et seq*., Only Arbitration Agreements are Interpreted to Include a Time is of the Essence Clause by Default

The general rule in California is "that time is *not* of the essence." *Leiter v. Handelsman* (1954) 125 Cal.App.2d 243, 250, emphasis added.) This has been the law for over a century. (*Miller v. Cox* (1892) 96 Cal. 339, 345 [the "intent to make time of the

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[13] (*Fineberg v. Niekerk* (1985), 175 Cal.App.3d 935, 938 [where a contract is silent on the time for payment, it is "payable within a reasonable time"].) Of course, providers of arbitration services typically specify when the payment is to be made in their agreements and fee schedules. (*Hagan, supra*, 170 Cal. at p. 143; pp. 55-65 [JAMS Fee Schedule].)

essence of the contract" must be shown "clearly, unequivocally, and unmistakably"].)

By contrast, under sections 1281.97 *et seq*., as interpreted by California appellate courts, time for payment of arbitration fees *is* of the essence. (§ 1281.97, subds. (a)(1), (a)(2), § 1281.98, subds. (a)(1), (a)(2); *Espinoza, supra*, 83 Cal.App.5th at p. 785 [section 1281.97 requires drafting parties to "take extra care timely to pay"]; *Plex*, *supra*, 2024 WL 348820, at p. 7 [analogizing section 1281.98 to a "time is of the essence" clause].)

(3) Under Sections 1281.97 *et seq*., Tardy Performance of Arbitration Agreements is Not Treated the Same Way as Other Contracts

Justice Wiley's dissent pinpoints the issue: "No other contracts are voided on a hair-trigger basis due to tardy performance" (Dis. Op. at p. 3.) "Only arbitration contracts face this firing squad." (*Ibid*.)

Under California law, the general rule is that "material breach excuses performance by the innocent party." (*De Burgh v. De Burgh* (1952) 39 Cal.2d 858, 863; *Superior Motels, Inc. v. Rinn Motor Hotels, Inc*. (1985) 195 Cal.App.3d 1032, 1051 [collecting cases].) Whether there has been a breach, and whether a breach is material, are questions of fact. (*Brown v. Grimes* (2011) 192 Cal.App.4th 265, 277 (collecting cases); *Superior Motels, Inc., supra,* 195 Cal.App.3d at p. 1051.)[14] These issues must be resolved

[14] Late payment is "*not automatically*" material even where the contract has a "provision . . . making time of the essence." (*Magic Carpet Ride LLC v. Rugger Investment Group* (2019) 41

on a case-by-case basis and "cannot be settled by formula." (*Superior Motels, Inc., supra* 195 Cal.App.3d at p. 1051.)

However, California courts *will not allow* forfeiture of an important contractual right based on a short delay in performance. This is a foundational principle and codified law. (Cal. Civ. Code § 1492; *MacFadden v. Walker* (1971) 5 Cal.3d 809, 811 (1971) (*in banc*) [the "policy against forfeitures precludes denying the right to specific performance" even where there has been a "willful failure to make . . . payments when due" under a "contract in which time is declared to be of the essence"]; *Bisno v. Sax* (1959) 175 Cal.App.2d 714, 721-22 ["valuable contractual rights should not be surrendered . . . by a slight delay in performance"].)

By contrast, under sections 1281.97 *et seq*., even short delay is deemed material by operation of law. (§ 1281.97, subd. (a); § 1281.98, subd.(a).) The determination is improperly based on a formula—not on a case-by-case basis by a trier of fact.

(4) Under 1281.97 *et seq*., the Determination of "Waiver" of the Contractual Right to Arbitrate is Not the Same as Other Contracts

Where the FAA applies, the question of whether a party has waived a right to arbitrate is a matter of federal law. (*Abary v.*

Cal.App.5th 357, 360, emphasis added.) Moreover, breaches can be waived, justified, or excused; parties can be estopped; and equity otherwise can prevent forfeiture. (*Whitney Inv. Co. v. Westview Dev. C*o. (1969) 273 Cal.App.2d 594, 603; *Galdjie v. Darwish* (2003) 113 Cal.App.4th 1331, 1339 ["Like any other contractual terms, timeliness provisions are subject to waiver by the party for whose benefit they are made."].)

BMW of N. Am., LLC (N.D. Cal. Sept. 29, 2020) No. 19-CV-00087, 2020 WL 5798377, at p. 1.)

In *Morgan v. Sundance*, the Supreme Court held that the test for waiver of the right to arbitrate must be the same as the test for waiver of other contractual rights. (*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 417-418.) However, *Morgan* left open the "role state law might play in resolving when a party's litigation conduct results in the loss of a contractual right." (*Ibid.*)[15]

This Court recently granted review in *Quach v. California Commerce Club, Inc.*, S275121, to address whether California's test for waiver remains valid in light of *Morgan*. This Petition addresses the test for waiver under codified law, which bears directly on the clarification of the standard to be used under California law.

Regardless of whether waiver is governed by California or federal law, sections 1281.97 *et seq.* violate the equal treatment principle. "Both state and federal law emphasize that no single test delineates the nature of the conduct that will constitute a waiver of arbitration." (*St. Agnes Med. Ctr.*, *supra*, 31 Cal.4th at p, 1195.) Both California and federal law require *some conduct*

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[15] Under federal law, the test for waiver is the "intentional relinquishment or abandonment of a known right." (*Morgan, supra,* (2022) 596 U.S. at p. 417 [quoting *United States v. Olano* (1993) 507 U.S. 725, 733].) California courts also find waiver of a contractual right where "a party intentionally relinquishes a right." (*Wind Dancer Prod. Grp. v. Walt Disney Pictures* (2017) 10 Cal.App.5th 56, 78.) However, for the contractual right to arbitrate, California employs a different multi-factor test that requires more. (*St. Agnes Med. Ctr., supra,* 31 Cal.4th at 1195-96.)

inconsistent with the right. This Court has "emphasize[d] . . . that the delay must be substantial [and] unreasonable." (*Engalla, supra*, 15 Cal.4th at 983.)

The "waiver" effectuated by legislative decree under sections 1281.97 *et seq*., does not approach any of these standards. No circumstances are considered, and no meaningful delay is required. (§ 1281.97, subd. (a); § 1281.98, subd. (a).)

(5) Under 1281.97 *et seq*., Consumers and Employees are Not Held to Their Obligations in the Same Way as Other Contracts

Under California law, the general rule is that a party seeking to enforce a contract must also show that it has performed its own contractual obligations. (*Harrison v. Cook* (1963) 213 Cal.App.2d 527, 530.) By contrast, under sections 1298.97 and 1298.98, the drafting party has an obligation to pay the arbitrator regardless of whether the consumer or employee has performed. (*Suarez,* 99 Cal.App.5th at pp. 595-96.)

(6) Under 1281.97 *et seq*., the Consequences of Enforcement is Not the Same as Other Contracts

In California, when one party breaches an agreement, the other party can sue for damages or specific performance. (Civil Code §§ 3300, 3388.) In the case of an arbitration agreement, a party can also attempt to compel arbitration through appropriate procedures. Regardless, under section 1281.99, breach of an arbitration agreement also includes mandatory fines and the threat of terminating sanctions and being held in contempt without any prior notice. (§ 1281.99, subd. (b).) Thus, not only

does the statutory scheme make it much easier to breach arbitration agreements, but it makes the consequences of that breach much more severe. (*United States v. Wilson* (1975) 421 U.S. 309, 327 (dis. opn. of Brennan, J.) ["[S]ummary punishment for contempt 'always, and rightly, is regarded with disfavor' in light of the 'heightened potential for abuse posed by the contempt power,' and is to be resorted to only when necessary for 'immediate penal vindication of the dignity of the court.'" (citations omitted)].)

It is not an exaggeration to say that 1281.97 *et seq*. elevate every arbitration agreement to a higher plane than all (or nearly all) contracts and places their force somewhere around that of a consent decree entered by the Court, if not higher. Citizens of California can breach their mortgage contracts, marriage contracts, and agency contracts without being subject to mandatory fines. Golden State Foods is not aware of any other contract on this apex "plane."

3. Sections 1281.97 *et seq*. Stand as an Obstacle to the FAA's Purposes and Objectives

a. Sections 1281.97 *et seq*. Deter and Impose Severe Burdens on Arbitration Agreements

The burdens imposed by sections 1281.97 *et seq*. are severe. The drafting party faces the risk of forfeiture, fines, and other penalties. (§ 1281.97, subd.(a); § 1281.97, subd.(b); § 1281.99.) This alone is a sufficient obstacle to preempt these statutory provisions. (*Bonta II, supra*, 62 F.4th at pp. 487, 490 ["[I]t is clear that the penalties [will] inhibit an employer's willingness to create an arbitration contract with employees."].)

Furthermore, the short 30-day window has the potential to put a drafting party in an untenable position of choosing between paying initial filing fees (and risking sanctions under sections 1281.97 *et seq*.) or simply paying the claim—even if there is a legitimate basis to transfer them to another forum.[16]

Importantly, California is home to more employers than any other state, and even if a deadline is missed in just one percent of cases, that will be a significant number and deterrent to entering into arbitration agreements. A small fraction would be significant given the enormous consequences in each case—the right to the arbitral forum is lost, the party faces severe sanctions, and the citizens of California are forced to finance judicial resolution.

b. Sections 1281.97 *et seq*. Interfere with Fundamental Attributes of Arbitration

The hallmark of arbitration is "individualized and informal form . . . protected from undue state influence." (*Viking River Cruises, Inc. supra,* 596 U.S. at p. 640.) Thus, informality is a fundamental attribute of arbitration, and "case-by-case application" of enforceability of arbitration agreements "tend to promote the FAA's objectives" rather than lead to "procedural rigor." (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109,

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[16] For example, in a recent case, a single law firm filed 40,000 demands for arbitration, in a forum "shopping spree." (*Intuit Inc. v. 9,933 Individuals* (Cal. Ct. App. July 29, 2021) No. B308417, 2021 WL 3204816, at p. 1 [not cited for precedential value].) The company argued that it "face[d] a 'stark no-win choice' of either paying millions of dollars in arbitration fees under the threat of SB 707 penalties or 'pay[ing] a massive [global] settlement' of claims it vehemently disputes." (*Id*., 2021 WL 3204816, at pp. 1-3.)

1149.) Informality is "itself desirable" and is the "*principal* advantage of arbitration." (*Concepcion, supra,* 563 U.S. at p. 345, 348.) By agreeing to arbitrate, the parties "trade[] the procedures . . . for the simplicity, informality, and expedition of arbitration." (*Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.* (1985) 473 U.S. 614, 628.)

Sections 1281.97 *et seq.* infuse procedural rigor stricter than judicial proceedings into the arbitral forum. Missing a deadline to pay a filing fee in the Superior Court typically does not result in fines, much less forfeiture. (*Anderson v. City of Dallas,* (N.D. Tex. 2002) 210 F.R.D. 579, 581 (finding good cause for extending the deadline to file motions by eight minutes because counsel's watch was a few minutes off.) The statutory scheme eliminates individual determinations of "material breach" and "waiver," and reduces them to a formula crafted by the state. These "threshold limitations placed specifically and solely on arbitration" interfere with the principal benefit of the arbitral forum and are "antithetical" to goals of the FAA. (*Doctor's Assocs. Inc., supra*, 517 U.S. at p. 688.)

4. The Reasoning Employed by *Gallo* Conflicts with Established Preemption Authority

As an initial matter, central to *Gallo's* holding was the fact that the parties "agreed to apply the CAA"—the Court mentioned this *six* times. (*Gallo*, *supra*, 81 Cal.App.5th at pp. 630,633-45.) The majority opinion quotes *Gallo* statement that the statutes "give[] effect to the parties' agreement," but that is because, in *Gallo*, the parties "agreed to apply the CAA." (Op. at p. 8; *Gallo, supra*, 81 Cal.App.5th at p. 640.) Therefore, the *Gallo* Court

concluded that "applying this state law . . . "giv[es] effect to the parties' agreement." (*Gallo, supra*, 81 Cal.App.5th at p. 639.)

By extension, applying sections 1281.97 *et seq*. to disputes where, as here, the parties agreed to abide by the *FAA and procedural rules* of a specified arbitration provider, would contravene the parties' intent and FAA's primary purpose.[17]

Beyond that, the majority below, *Gallo*, *Espinoza*, and *Suarez* advance three principal reasons why sections 1281.97 *et se*q. are not preempted. Each contention is addressed below.

a. The Fact that Employees and Consumers Retain a "Choice" to Continue the Arbitration Does Not Bring Sections 1281.97 *et seq*. Outside the Purview of § 2

Gallo concludes that "SB 707 is not preempted" because it gives consumers and employees a "choice" whether to proceed, and thus does not definitionally "invalidate arbitration agreements." (*Postmates, Inc., supra,* 2021 WL 540155, at pp. 7-8; *Gallo, supra*, 81 Cal.App.5th at pp. 641-42.) As *Beylea* explains, "what matters . . . is that the drafting party may no longer enforce the agreement." (*Byelyea, supra*, 637 F.Supp.3d at p. 758.) Moreover, this *cannot* be the rule, particularly considering the legislative history, because the legislature could always just give an "out" to bring the statute outside of the purview of FAA § 2. (*Kindred, supra*, 581

[17] The Arbitration Agreement states that it is "governed by the Federal Arbitration Act" and "shall be submitted to final and binding arbitration in accordance with the rules of the American Arbitration Association/JAMS/Endispute or other professional ADR-provider." (pp.38, 49.) The Arbitration Agreement does not reference the California Arbitration Act.

U.S. at p. 255 ["Adopting the respondents' view would make it trivially easy for States to undermine the Act— indeed, to wholly defeat it."])

b. The FAA Does Not Authorize Special "Pro-Arbitration" Rules

Gallo emphasizes that sections 1281.97 *et seq*. are consistent with the FAA because they are "pro-enforcement," and promote "speedy" and "efficient" resolution. (*Gallo, supra* 81 Cal.App.5th at 388 [sections 1281.98 and 1281.99 "facilitate arbitration"]; *Postmates, Inc., supra* 2021 WL 540155, at pp. 7-8.) This reasoning would permit a rule requiring all arbitrations to be complete in one day. But the speed of arbitration is *not* the result of deadlines imposed by the state. It is the opposite—they derive from the informality and simplicity of the proceedings. (*Concepcion, supra*, 563 U.S. at 345 ["informality . . . reduc[es] the cost and increase[es] the speed of dispute resolution"].)

Thus, "a state-law rule interferes with fundamental attributes of arbitration, the FAA preempts the state-law rule even if the rule is designed to facilitate prosecution of certain kinds of claims." (*Sonic-Calabasas A, Inc., supra*, 57 Cal.4th at p. 1157.) As Justice Wiley explains, the mechanism by which sections 1281.97 *et seq*. supposedly encourage arbitration is "making arbitration agreements unenforceable"—including Golden State Foods' agreement in this case. (Dis. Op. at pp. 3-4; *Beylea, supra* 637 F. Supp. 3d at pp. 757-758.) The FAA does not authorize courts to render certain arbitration agreements unenforceable simply to "encourage" performance of others.

In all events, the FAA's goal "is *not* to provide special status for arbitration agreements, but only 'to make arbitration agreements as enforceable as other contracts, *not more so*.'" (*Cronus Invs., Inc., supra,* 35 Cal.4th at p. 388, emphasis added [quoting *Prima Paint Corp, supra* 388 U.S. at p. 404 at fn. 12].) The law treats arbitration agreements more harshly, which is how they render agreements unenforceable. (*Saturn Distribution Corp. v. Williams* (4th Cir. 1990) 905 F.2d 719, 726.)

c. Sections 1281.97 *et seq*. are Preempted Even Assuming they are "Procedural Rules"

Gallo and other decisions emphasize that sections 1281.97 *et seq*. are "procedural rules" that "govern the conduct of arbitration," and there is "no federal policy favoring arbitration under a certain set of procedural rules." (*Gallo, supra* 81 Cal.App.5th at p. 641.) At the very least, it is not clear that the rules are procedural, given that violating them results in a determination of "material breach." (*De Leon, supra,* 85 Cal.App.5th at pp. 752-53 [describing the law as creating a "statutorily defined material breach"].) The FAA does not preserve anti-arbitration rules masquerading as general defenses. (*Concepcion*, *supra*, 563 U.S. at p. 351.)

Regardless, section 2 is a "Congressional declaration . . . favoring arbitration agreements, notwithstanding any state substantive or *procedural* policies to the contrary." (*Moses H. Cone Mem'l Hosp., supra,* 460 U.S. at 24, emphasis added.) This Court has made clear that outcome-determinative "procedural rules" are preempted. (*Los Angeles v. Superior Ct.* (1999) 21 Cal. 4th 292, 300 ("[S]tate law that would produce a different outcome in state

than in federal court must yield to federal law."; *Rosenthal, supra,* 14 Cal.4th at p. 408, ["A rule that frustrated the effectuation of § 2's central policy would, where the federal law applied, be preempted by the [FAA]."].)

As *Beylea* explains, "that CCP § 1281.98 is a 'procedural' rule makes no difference to the equal-treatment inquiry." (*Beylea*, 637 F.Supp.3d at pp. 758-759.) They are preempted not based on their label, but rather based on their consequence. (*Ibid.*) Accordingly, regardless of whether sections 1281.97 *et seq*. are procedural rules, substantive law, or generally applicable contract defenses, they are preempted by the FAA.

CONCLUSION

For the foregoing reasons, the Court should grant the Petition.

Dated: April 8, 2024

Respectfully submitted,

Sanders Roberts LLP

/s/ Melvin L. Felton
Reginald Roberts, Jr.
Melvin L. Felton
Anand Singh

Attorneys for Defendant and Real Party in Interest, Golden State Foods Corp.

CERTIFICATE OF WORD COUNT
(California Rule of Court 8.504(d)(1))

I, Melvin L. Felton, Counsel of Record, hereby certifies that pursuant to Rule 8.504(d)(1) of the California Rules of Court, the enclosed Petition for Review is produced using 13-point or greater Roman type, including footnotes, and contains 7,895 words, which is less than the total words permitted by the rules of Court. Counsel relies on the word count of the computer program used to prepare this Petition.

Dated: April 8, 2024

Respectfully submitted,

Sanders Roberts LLP

/s/ Melvin L. Felton
Melvin L. Felton

OPINION

Filed 2/27/24

CERTIFIED FOR PUBLICATION

IN THE COURT OF APPEAL OF THE STATE OF CALIFORNIA

SECOND APPELLATE DISTRICT

DIVISION EIGHT

DANA HOHENSHELT, Petitioner, v. THE SUPERIOR COURT OF LOS ANGELES COUNTY, Respondent; GOLDEN STATE FOODS CORP., Real Party in Interest.	B327524 Los Angeles County Super. Ct. No. 20PSCV00827

ORIGINAL PROCEEDINGS in Mandate. Thomas Falls, Judge. Petition granted.

Mayall Hurley and Nicholas F. Scardigli for Petitioner.

Sanders Roberts, Reginald Roberts, Jr., Melvin L. Felton, Ashley N. Bobo and Tyler S. Dobberstein for Real Party in Interest.

No appearance for Respondent.

FACTUAL AND PROCEDURAL BACKGROUND

On November 25, 2020, Dana Hohenshelt (Hohenshelt) filed a complaint against his former employer Golden State Foods Corp. (Golden State). The complaint alleges four causes of action: retaliation under the California Fair Employment and Housing Act (FEHA); failure to prevent retaliation under FEHA; violation of Labor Code section 226, subdivision (c), failure to timely provide copies of wage statements; and violation of Labor Code section 1198.5, subdivision (b), failure to timely provide copies of personnel records. Golden State moved to compel arbitration according to the parties' arbitration agreement. On April 1, 2021, the trial court granted the motion and stayed court proceedings pending binding arbitration.

On August 3, 2021, arbitration commenced via Judicial Arbitration and Mediation Services (JAMS). An arbitrator was appointed on August 16, 2021. Per the arbitrator's fee schedule, "All fees are due and payable in advance of services rendered." On July 29, 2022 JAMS sent an invoice to Golden State for $32,300. On August 29, 2022, JAMS sent another invoice for $11,760. Both invoices were due to be paid within 30 days of their respective due dates; both invoices provide that payment is "due upon receipt."

On September 30, 2022, JAMS sent a letter stating: "Pursuant to our fee and cancellation policy, all fees must be paid in full by October 28, 2022, or your [arbitration] hearing may be subject to cancellation."

Later that same day, on September 30, 2022, Hohenshelt notified JAMS and the court that because Golden State did not pay within 30 days of the due date, he was "unilaterally elect[ing]" to withdraw his claims from arbitration and to proceed

in court pursuant to Code of Civil Procedure[1] section 1281.98, subdivision (b)(1).

On October 5, 2022, Golden State confirmed via email to Hohenshelt that "all outstanding fees have been paid in full."

On October 6, 2022, Hohenshelt filed a motion to lift the litigation stay pending arbitration.

On February 2, 2023, the court denied the motion. It deemed Golden State's payment timely based on the September 30, 2022 letter providing a new due date of October 28, 2022 for payment. The court held that "the arbitrator seemingly *set a new due date* of October 28, 2022." (Italics added.)

Hohenshelt filed a writ petition challenging the court's denial of this motion to lift the litigation stay pending arbitration. He requests that we issue a peremptory writ of mandate directing the trial court to vacate its February 2, 2023 order and enter an order lifting the stay of litigation to allow him to pursue his claims in court.

DISCUSSION

I. *Applicable Law*

In 2019, the Legislature enacted section 1281.98 to curb a particular arbitration abuse. (*Cvejic v. Skyview Capital, LLC* (2023) 92 Cal.App.5th 1073, 1076 (*Cvejic*).) The abuse was that a defendant could force a case into arbitration but, once there, could refuse to pay the arbitration fees, thus effectively stalling the matter and stymying the plaintiff's effort to obtain relief. (*Ibid.*) The Legislature called this " ' "procedural limbo." ' "

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[1] Further undesignated statutory references are to the Code of Civil Procedure.

(*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, 634 (*Gallo*).)

Section 1281.98 provides: "In an employment or consumer arbitration that requires . . . the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, *if the fees* or costs . . . *are not paid within 30 days* after the due date, *the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration* as a result of the material breach." (§ 1281.98, subd. (a)(1), italics added.)

Subdivision (b) of section 1281.98 provides employees and consumers with a choice of forum upon breach—they may elect to "[w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction" or "[c]ontinue the arbitration proceeding" should the provider agree to continue.

Effective January 1, 2022, the Legislature amended section 1281.98 to include a new sentence in subdivision (a)(2): "Any extension of time for the due date shall be agreed upon by all parties." (Stats. 2023, ch. 478, § 17.)

II. ***Standard of Review***

Our review is independent because we interpret a statute on undisputed material facts. (*Cvejic*, *supra*, 92 Cal.App.5th at p. 1077.) We give statutory words their plain meaning. (*Ibid.*) Our goal is to effectuate the statute's purpose. (*Ibid.*)

III. *Analysis*

The trial court's ruling was inconsistent with statutory mandate as well as recent appellate opinions.

First, the trial court's ruling ignored the clear language of section 1281.98, subdivision (a)(2), which expressly provides that "[a]ny extension of time for the due date shall be agreed upon by all parties." Here, there is no evidence that Hohenshelt agreed to any extension.

Second, we dealt with this exact same situation in *Cvejic*. In that case, the defendant employer Skyview's fees were due June 4, 2021; by July 8, Skyview had not paid. (*Cvejic*, *supra*, 92 Cal.App.5th at p. 1075.) The panel of arbitrators "set a new deadline" of July 14 for payment of fees. (*Ibid*.) Within an hour, Cvejic informed the panel that he was "withdrawing from the arbitration under section 1281.98." The chair of the arbitration panel responded that Cvejic's request was "premature"—presumably because the deadline was now July 14. (*Ibid*.) Skyview paid the arbitration fee by the new due date. (*Ibid*.) We held in *Cvejic* that Skyview was "in material breach of the parties' arbitration agreement. Section 1281.98 entitled Cvejic to withdraw from arbitration. It is that simple. [¶] *The statute does not empower an arbitrator to cure a party's missed payment*. There is no escape hatch for companies that may have an arbitrator's favor. Nor is there a hatch for an arbitrator eager to keep hold of a matter. As the trial court observed, 'If . . . the drafting party were permitted numerous continuances for failure to pay arbitration fees, therefore delaying the proceedings, [section 1281.98] would have no meaning, force, or effect.' " (*Cvejic*, at p. 1078, italics added.)

Our colleagues in *Gallo* similarly held that "any payment that exceeds the arbitration provider's deadline and a statutorily granted 30-day grace period to be a material breach as a matter of law." (*Gallo*, *supra*, 81 Cal.App.5th at p. 644, italics omitted.) The *Gallo* court further explained that section 1281.97[2] "statutorily defines a material breach as a matter of law to be the failure to pay anything less than the full amount due by the expiration of the statutory grace period, rather than leaving materiality as an issue of fact for the trier of fact to determine." (*Gallo*, at p. 644.)

We believe the same logic applies in the case before us. Golden State's arbitration fees were due to be paid within 30 days of the two invoices. Payment for the July 29, 2022 invoice was due August 28, 2022, and payment for the August 29, 2022 invoice was due September 28, 2022. Section 1281.98 entitled Hohenshelt to withdraw from the arbitration. Section 1281.98 does not allow for any extension of time for the due date absent an agreement "by all parties." (§ 1281.98, subd. (a)(2).) JAMS's September 30, 2022 letter allowing payment until October 28, 2022 in no way cured Golden State's missed payment and material breach.

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[2] The Legislature enacted section 1281.97 along with section 1281.98. The procedures and remedies under sections are largely parallel and "require no different analysis." (*Williams v. West Coast Hospitals, Inc.* (2022) 86 Cal.App.5th 1054, 1066.) Section 1281.98 applied to the failure to pay fees *during the course of the arbitration* whereas section 1281.97 applies to the failure to pay fees due at the *initiation of arbitration*.

Next, Golden State argues for the first time via its supplemental brief that section 1281.98 is preempted by the Federal Arbitration Act (FAA) (9 U.S.C. § 1 et seq.) and that we should uphold the trial court's order to allow the parties to return to arbitration. The Supremacy Clause of the United States Constitution declares federal law to be the supreme law of the land, and thereby empowers Congress to enact statutes that displace—in the vernacular, preempt—contrary state laws. (*Gallo*, *supra*, 81 Cal.App.5th at p. 635.) We exercise our discretion to address a constitutional question raised for the first time in this court. (See *Hittle v. Santa Barbara County Employees Retirement Assn.* (1985) 39 Cal.3d 374, 391, fn. 10.)

The question of whether section 1281.98, as well as sections 1281.97 and 1281.99, are preempted by the FAA was addressed and answered in *Gallo* and followed thereafter by other courts. (See *Suarez v. Superior Court* (2024) 99 Cal.App.5th 32, 41–42; *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 783–784; *De Leon v. Juanita's Foods* (2022) 85 Cal.App.5th 740, 753–754.)

Gallo held these state laws are not preempted "because the procedures they prescribe *further*—rather than *frustrate*—the objectives of the FAA to honor the parties' intent to arbitrate and to preserve arbitration as a speedy and effective alternative forum for resolving disputes." (*Gallo*, *supra*, 81 Cal.App.5th at p. 630.) Analyzing precedent, the *Gallo* court observed that the mere fact that a law applies solely to arbitration is insufficient to preempt it under the FAA. (*Id.* at p. 638.) These state laws "do not commit the additional—and . . . necessary for preemption—sin of outright prohibiting arbitration or more subtly discouraging arbitration. Instead, [they] define the procedures governing the date by which the party who drafted an agreement

to arbitrate against an employee . . . must pay the initial fees and costs to arbitrate, and specify the consequences of untimely payment." (*Id*. at p. 641, italics omitted.) These state laws are "fully consistent with the parties' more general intent to arbitrate because the parties' agreement was to arbitrate the dispute, not let it die on the vine and languish in limbo while the party who demanded arbitration thereafter stalls it by not paying the necessary costs in a timely fashion." (*Id*. at p. 643.) Moreover, these state laws also do not disfavor arbitration "because the consequences of blowing the payment limitations period they erect do not necessarily end the nascent arbitration" as the employee maintains "the option of continuing in arbitration or returning to a judicial forum." (*Id*. at p. 642, italics omitted.) It "both gives effect to the parties' agreement as well as furthers another of the FAA's main purposes . . . —namely, ensuring the ' "quick, inexpensive, and conclusive resolution to [a] dispute." ' " (*Id*. at p. 640.)

The *Gallo* court did note its ruling "had the effect of *ending* the arbitration in this case." (*Gallo*, *supra*, 81 Cal.App.5th at p. 645, italics added.) The opinion reasoned the fault belonged with the employer, which had not paid its fees on time. The same could be said of respondent employer Golden State (and the employer in *Cvejic*). Other employers presumably would take note of this incentive to speed up the arbitration. This incentive to speed arbitration in other cases means the California statute "is a friend of arbitration and not its foe." (*Ibid*.)

DISPOSITION

We grant the petition for writ of mandate and direct the trial court to vacate its order denying the motion to lift the stay of litigation and to enter an order lifting the stay. Costs are awarded to petitioner.

CERTIFIED FOR PUBLICATION

STRATTON, P. J.

I concur:

VIRAMONTES, J.

WILEY, J., Dissenting:

What preempts this statute is the decision to make *arbitration* the hostage of delay.

Delaying contract performance in bad faith is an odious tactic. Employers pursuing this tactic may deserve sanction. But sanctions like damages, a statutory fine of a motivating magnitude, and attorney fees would amply deter delay. Why abolish the *arbitration itself*?

One answer is that California state law disagrees, strongly and persistently, with federal law about whether arbitration is desirable.

Indeed, the plaintiff's attorney was candid about this stance in oral argument, saying he disagreed with the Supreme Court of the United States about forcing arbitration on employees. He spoke strongly in the statute's defense. From a preemption perspective, that is the problem. People opposed to arbitration are supporting this statute. People opposed to arbitration are not friends of arbitration.

Judged by actions, California law over the last few decades also has not been a friend of arbitration.

By again putting arbitration on the chopping block, this statute invites a *seventh* reprimand from the Supreme Court of the United States.

Recall the past six. Over and over again, with determined but unavailing persistence, the Supreme Court of the United States has rebuked California state law that continues to find new ways to disfavor arbitration.

First, the high court held the Federal Arbitration Act set forth a federal policy favoring arbitration that was clear and in unmistakable conflict with California's "requirement that

litigants be provided a judicial forum for resolving wage disputes. Therefore, under the Supremacy Clause, the [California] statute must give way." (*Perry v. Thomas* (1987) 482 U.S. 483, 491 [preempting California law].)

Second, the high court held the Federal Arbitration Act preempted California state law referring certain disputes initially to an administrative agency. "When parties agree to arbitrate all questions arising under a contract, the [Federal Arbitration Act] supersedes state laws lodging primary jurisdiction in another forum, whether judicial or administrative." (*Preston v. Ferrer* (2008) 552 U.S. 346, 359; see also *id.* at pp. 349–350, 355–356.)

Third, the high court's decision in *AT&T Mobility v. Concepcion* (2011) 563 U.S. 333, 337–338, 352 preempted California's rule that class-action waivers in arbitration agreements were unconscionable.

Fourth, in *DIRECTV, Inc. v. Imburgia* (2015) 577 U.S. 47, the high court pointedly addressed California's continuing defiance of federal law. The "Supremacy Clause forbids state courts to dissociate themselves from federal law because of disagreement with its content or a refusal to recognize the superior authority of its source. . . . The Federal Arbitration Act is a law of the United States, and *Concepcion* is an authoritative interpretation of that Act. Consequently, the judges of every State must follow it." (*Id.* at p. 53 [preempting California law].)

Fifth, the decision in *Lamps Plus, Inc. v. Varela* (2019) 587 U.S. __ [139 S.Ct. 1407, 1414–1415] reversed the Ninth Circuit for applying a California state law requiring courts to construe ambiguities against the drafter, a rule that applied with peculiar force, said California law, in the case of a contract of adhesion, like the arbitration contract there at issue. The proper approach

required the federal Act's default rule, which is that "ambiguities about the scope of an arbitration agreement must be resolved in favor of arbitration." (*Id.* at p. 1418.) The *Lamps Plus* decision thus preempted a California law disfavoring arbitration.

Sixth, *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662 preempted a California arbitration law that invalidated contractual waivers of the right to assert representative claims under California's Private Attorneys General Act. Federal law established an equal treatment principle: state courts may invalidate an arbitration agreement based on generally applicable contract defenses like fraud or unconscionability, but not on legal rules that apply only to arbitration or that derive their meaning from the fact that an agreement to arbitrate is at issue. (*Id.* at p. 649.)

So, the federal arbitration preemption rule is simple. The Federal Arbitration Act preempts a state rule that "singles out arbitration agreements for disfavored treatment." (*Kindred Nursing Centers L.P. v. Clark* (2017) 581 U.S. 246, 248.)

This California statute "singles out arbitration agreements for disfavored treatment." No other contracts are voided on a hair-trigger basis due to tardy performance. Only arbitration contracts face this firing squad.

This statute thus is preempted. California cannot create a rule specific to the arbitration context that contravenes the arbitration on which the parties agreed. After six epistles, we should get the message.

A federal decision made short work of the argument favoring this statute. This pro-statute argument claims the statute is a friend to arbitration. The federal decision debunked this claim. (See *Belyea v. GreenSky, Inc.* (N.D.Cal. 2022)

637 F.Supp.3d 745, 759.) The *Belyea* court examined this friend-of-arbitration claim that the statute encourages arbitration. *Belyea* then asked the incisive question: "But how? It does so by making arbitration agreements *unenforceable*." (*Ibid.*, emphasis added.)

A friend of arbitration does not make the arbitration agreement unenforceable. Federal law does not allow a state to save arbitration by destroying it.

The *Belyea* critique was devastating.

Yet California state cases that postdate *Belyea* continue to espouse the friend-of-arbitration logic without engaging, or acknowledging, *Belyea*'s critique. (See *Suarez v. Superior Court* (2024) 99 Cal.App.5th 32, 41–42; *De Leon v. Juanita's Foods* (2022) 85 Cal.App.5th 740, 753–754; cf. *Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 783–784 [pre-*Belyea* decision rejected preemption].)

In my estimation, this devastating critique accurately states overriding federal law. This state statute is invalid because it violates a clear federal rule.

WILEY, J.

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County of Los Angeles)
)

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Sanders Roberts LLP

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